Urban Hearth — where we stand

Prepared for Erin · Oct 19, 2026 · Toast covers and spend, trailing 3 months (Aug 1 – Oct 18)

REVENUE

$1,344,108
So far this year (through Oct 18)

$1,856,306
Projected for 2026

OTHER INCOME grants & asset sale

$176,048
So far (almost all grants)

$288,441
Projected, incl. a $88.1K asset-sale gain and $24.0K of grants not yet received

PROFIT

–$47,194
So far · -3.5% margin

–$250,688
Projected · -13.5% margin; includes $300K non-cash depreciation

LOAN COVENANT

$111,420
Earnings we need for 2026, before interest and depreciation

+$17,907
Projected cushion · 1.45x vs 1.25x required ✓

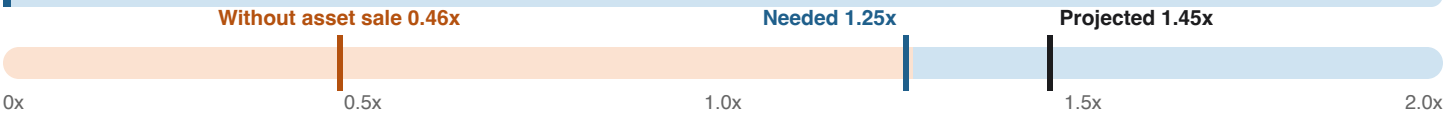
So far this year includes only part of October's bills, so it reads a little better than it will once October closes. Operations alone, before grants, the asset sale, depreciation and other expenses, are projected at a **$224,380 loss**.

What the covenant requires, in plain terms

Our Eastern Bank loan has a rule we have to pass once a year: **for every $1 we pay on our loans, the restaurant has to earn at least $1.25** before loan interest is paid. This is the bank's way of checking that we earn comfortably more than we owe, with a 25% cushion.

For 2026 the loans counted (the SBA loan plus five investor notes) cost **$89,136** in payments, so we need **$111,420** of earnings before interest and depreciation (1.25 × $89,136). Loan interest ($80,015) and the $300K Section 179 depreciation (non-cash) are both added back, so even a projected loss of $250,688 works out to **$129,327** of covenant earnings. **We pass with about $17,907 to spare** (1.45x).

The catch: that projection counts a $88.1K gain from selling the old location for $100K (equipment, the lease and the liquor license). Those are still carried at $11.9K on the books after catch-up depreciation, so the gain is $100K less that. If the sale slips into 2027, or the bank won't count a one-time gain as earnings, we'd be at **0.46x, about $70,143 short**. Page 2 looks at that risk.



A typical night, by space

Average of the last 3 months. Whole restaurant: **88.7 covers** and **$8,627** a night — about **$97.23** per cover. Chef's Counter is 26% of revenue from 11% of covers.

Space	Covers / night	Spend per cover	Revenue / night	Share
Dining Room open 65 of 65 nights	**45.2**	**$94.49**	**$4,275**	50%
Chef's Counter open 62 of 65 nights	**10.0**	**$227.78**	**$2,278**	26%
Bar open 65 of 65 nights	**15.9**	**$63.22**	**$1,003**	12%
Outdoor open 41 of 65 nights	**11.0**	**$74.60**	**$817**	9%
Salon open 55 of 65 nights	**6.7**	**$38.14**	**$254**	3%
Whole restaurant	**88.7**	**$97.23**	**$8,627**	**100%**

The risk: the gain on the asset sale

What happens if it doesn't count for 2026, and how much extra covers in specific spaces can make up

On the current plan we pass the covenant with about $17.9K to spare. But $88.1K of the year's earnings is the gain on the asset sale. The lease and liquor license transfers need approval from the landlord, the City and the state, so closing could slip into 2027. Without the sale we'd be at 0.46x and need about **$70.1K** more. **October is landing on plan so far** (Chef's 11.9 a night against 12 planned, Dining 47.9 against 48, Bar 17 against 17), so any extra has to come from covers **above the plan** in November and December: about 48 service nights (23 in Nov, 25 in Dec).

Room to grow, by space

"Plan" is the covers a night our budget already counts on. October is landing right on plan so far.

Space	Most it can seat	Plan, Nov / Dec	October so far	One more cover every night, Nov–Dec
Chef's Counter	6 seats × 2 turns = 12	10 / 10	11.9 (plan 12)	**$5,827**
Dining Room	32 seats × 2.5 turns = 80	46 / 56	47.9 (plan 48)	**$1,739**
Bar	11 seats × 3 turns = 33	20 / 20	17.0 (plan 17)	**$780**
Salon	10 seats × 3 turns = 30	6 / 7	7.0 (plan 7)	**≈ $0**
Outdoor	Closed for the season (Nov–Apr)			

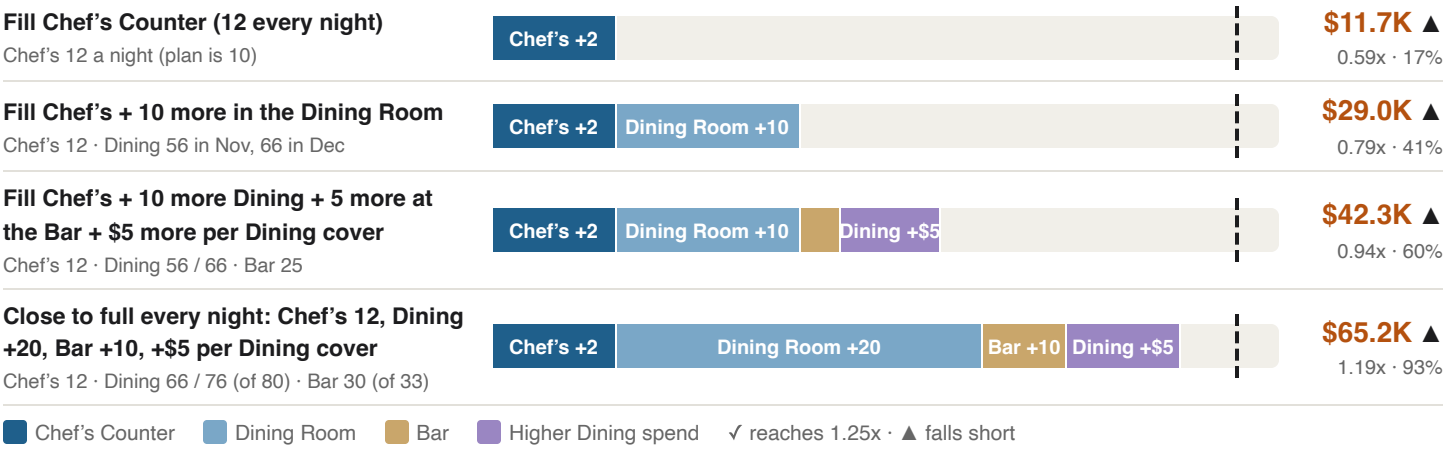
The bottom line

Covers can't replace the asset sale this year. Even running close to full every night in November and December makes up about 93% of the $70.1K. So the most important steps are **closing the sale in 2026** and **confirming with Eastern Bank** that a one-time gain counts toward the covenant.

Extra covers still build cushion, and Chef's Counter is the strongest lever: each extra Chef's cover adds about **$121** to earnings, against $36 in the Dining Room and $16 at the Bar.

How far extra covers get us without the asset sale

Extra covers a night above the plan, every night in November and December. The dashed line is the $70.1K we'd need for 1.25x without the sale.



Spending more per cover (secondary)

For comparison: what higher spend per cover adds over November and December, at the planned covers.

Space	Per cover	Increase	Adds
Chef's Counter	+$10	4%	**$3,067**
Dining Room	+$5	5%	**$7,853**
Bar	+$5	8%	**$3,067**
Salon	+$5	13%	**$1,000**

Why covers, not prices

Higher spend does help: $5 more per Dining cover is worth about $7.9K. But that means raising prices or getting every table to order more, which is hard to do quickly. Bringing more people in is the bigger and more controllable lever. The likeliest spend gains are drinks: wine pairings at Chef's and a second glass in the Dining Room.

Looking ahead: the covenant is tested every year. Over a full year, 2 more covers a night at Chef's Counter is worth about **$70K**, about as much as the asset sale is adding this year, which makes it the lever for 2027.

- **Baseline:** the Revenue Modeling projection — real results through September plus the budget for Oct–Dec, with the rest of October assumed to land on plan. The covenant counts the SBA loan and the Chen, Savage, Schaefer, Gilreath and Mis notes: $89,136 of payments in 2026, so required EBITDA is 1.25 × that = $111,420. Projected EBITDA = –$250,688 profit + $80,015 loan interest on the books (actual Jan–Sep, budget Oct–Dec) + $300,000 depreciation (budgeted for December: Section 179 on about $300K of 1281 Cambridge St furniture and equipment, estimate pending the accountant) = $129,327. If the bank counts all 10 loans ($128,440 of payments) we'd be at 1.01x, about $31.2K short, even with the asset sale.
- **Value of an extra cover:** recent spend per cover × (1 – 24.9% food & drink cost – 11.2% variable operating costs) – about $24.13 of hourly labor. That labor figure is a restaurant-wide average; 2 more seats at Chef's Counter probably add less, so Chef's is, if anything, understated. The Salon adds almost nothing per cover at about $38 of spend.
- **Other income:** the projection includes $288,441 of other income, $24.0K of it grant money and the $88.1K gain on the asset sale not yet received. Every dollar of it that slips comes straight off the cushion. The $300K depreciation figure is an estimate; Section 179 is limited to business income for the year, so the allowed amount may be lower. Depreciation does not change the covenant ratio, because it is added back.